

MUTUAL NON-DISCLOSURE AND CONFIDENTIALITY AGREEMENT

General Business NDA | Test File #4

This Mutual Non-Disclosure Agreement ("NDA") is entered into on this 14th day of September, 2026 ("Effective Date"), by and between **Island Tech Solutions Ltd.** and **Partner Entity Inc.** (collectively referred to as "Parties").

1. PURPOSE

The Parties intend to engage in discussions concerning a potential joint venture and business partnership in software development ("Purpose"). In connection with the Purpose, each party may disclose confidential business and technical information.

2. DEFINITION OF CONFIDENTIAL INFORMATION

2.1 "Confidential Information" includes source code, product roadmaps, trade secrets, financial records, customer lists, and strategic business plans disclosed verbally or in writing.

3. OBLIGATIONS & UNBALANCED BREACH PENALTIES

3.1 Each party shall hold and maintain Confidential Information in strict confidence using at least the same degree of care as it uses to protect its own proprietary information.

3.2 Risky Clause - Excessive Liquidated Damages: In the event of any technical or inadvertent breach of this Agreement by Partner Entity Inc., Partner Entity Inc. agrees to immediately pay Island Tech Solutions Ltd. a fixed penalty of USD \$500,000 as liquidated damages without requiring proof of actual financial damage suffered.

4. TERM AND PERPETUAL CONFIDENTIALITY

4.1 This Agreement shall remain in effect for two (2) years. However, the obligation to keep Confidential Information private shall survive indefinitely in perpetuity.

[AI Test Benchmark Note for NDA Missing Clauses]:

- Missing Standard Exceptions Clause (Public domain info, Compulsory Court Order / Law enforcement disclosure exceptions).
- Missing Mandatory Return/Destruction of Data Clause upon termination.

For Island Tech Solutions Ltd.

For Partner Entity Inc.

Authorized Officer

Authorized Officer